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Retiring the *Advisor*

The base case for closing the Forced Urgency Gap — one city at a time

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Formal core
Inherited: ForcedUrgency.lean
6 theorems · no sorryAx

Pilot
Newark, NJ + New York, NY
Four-channel index

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If the binding variable in household loss is contractual liquidity rather than information or preference, then the advisory layer — financial advisors priced on assets, policy advisors priced on reports — is structurally unable to close the gap. Advice moves beliefs. The loss lives in the contract. This paper draws the commercial conclusion of WP-32 and states it precisely enough to be falsified.

DATA observed **MODEL** derived in-framework **OPEN** not yet established

VALUE PREMISE explicit normative choice **ASSUMPTION** planning figure, not forecast

§ 1 · INHERITED

What WP-32 established

When a household's liquidity state is unobserved, contractually forced sales — margin, redemption, and loan-to-value triggers — are observationally equivalent to preference-driven panic. The estimated loss-aversion coefficient is therefore a mixture of preference and compulsion whose compulsion share peaks in exactly the crisis states where the coefficient is applied. **MODEL**

AMPLIFICATION (WP-32 §4, KERNEL-VERIFIED)

Forced supply absorbed by unconstrained buyers at harvest coefficient ρ gives cumulative displacement

```
A = 1 / (1 − ρ)
```

Concentration ratchets monotonically. Six theorems machine-checked in Lean 4 / Mathlib (v4.33.0-rc1); `#print axioms → [propext, Classical.choice, Quot.sound]`, no `sorryAx`.

AI labour displacement is an urgency shock of the same class, reducing "will the transition compress or explode the wealth distribution?" to two measurable coefficients — the contract share and ρ — rather than to sentiment. MODEL The empirical values of ρ, the identification-failure magnitude, and the buffer-depletion lag remain unestimated. OPEN

§ 2 · THE ARGUMENT

Why the advisor cannot close the gap

The advisory industry sells information and judgment. But if the identification result holds, the household that sells at the bottom is not mistaken — it is *bound*. No improvement in beliefs relaxes a margin call, a redemption gate, or an LTV trigger. Advice operates on the preference term of the mixture; the loss lives in the compulsion term. MODEL

The empirical advice literature is unkind to the advisory value proposition on its own terms: audit studies find advisers reinforce rather than de-bias client error;[13] administrative data find adviser fixed effects dominate client customization;[14] and the "money doctors" model explains the industry's persistence as trust provision, not outcome improvement.[15] DATA None of those papers draw this paper's conclusion; the base case reads them as license, not as proof.

The municipal version is the same failure at institutional scale. Cities buy reports about affordability while the deed records, dockets, and premium schedules that constitute the compulsion term go unmeasured. Rutgers CLiME found ~47% of Newark's 1–4-unit residential sales (2017–2020) went to institutional buyers — the highest rate in the nation, up from under 20% in 2010.[2] DATA That finding was produced by researchers, not by any of the city's paid advisory relationships.

AUTHOR'S NOTE ON PROVENANCE

The author worked inside the machinery described — international banking at JPMorgan and Banco do Brasil — before formalizing the amplification mathematics. This is stated as provenance, not evidence: the margin, redemption, and LTV triggers named above are standard contract terms observable by any practitioner, and the formal results stand independently of biography.

Thesis. Retire the advisor; replace advice with measurement and mechanism. Measurement: an index that prices the gap. Mechanism: interventions that act on contracts — bridge liquidity at the moment of urgency, trigger redesign, tempo limits on dockets — not on beliefs. VALUE PREMISE We hold that a household's outcome should not depend on the patience it cannot afford.

§ 3 · THE PRODUCT

The FUG Index — four channels

A per-city diagnostic, each channel computed from public data, normalized to **dollars per median household per year**. A mayor should be able to say: forced urgency costs the median Newark renter $X annually, and here is the cheapest lever.

CHANNEL	MECHANISM	PRIMARY DATA	LIT.
1 · Ownership concentration	deed transfer to LLCs; institutional share of stock	`county deeds · ACRIS · PLUTO`	[2][17][18]
2 · Displacement velocity	filing tempo as rent-collection tactic	`Eviction Lab · OCA · NJ courts`	[19][20][21]
3 · Risk repricing	premium growth vs. income; non-renewals	`NAIC/DOBI · HMDA · FDIC`	[25]
4 · Platform extraction	fee share of formerly peer-to-peer trade; STR conversion	`fee schedules · Inside Airbnb · LL18 registry`	[22][23][24][29][30]

The composite weighting — by estimated dollars extracted, so the index reads in currency — is the methodological contribution and is not yet fixed. `OPEN` The index is to the Forced Urgency Gap what a thermometer is to fever: it does not cure, but it converts dispute into measurement, and measurement into procurement.

Where the operator chain enters

C	K	F	U
COMPRESS	THRESHOLD	FOLD	UNFOLD
Reduce the city to the four measured channels.	*The contractual trigger: margin, LTV, renewal date, filing.*	*Forced supply meets patient capital — the irreversible transfer.*	*Publish the scorecard; the measurement re-enters the city.*

Stated as a structural reading, not a numerical claim. Per WP-29 and WP-31, no coefficient of the index is asserted to equal any dimensionless constant of the series (ε_0, r★, τ), and none is fitted to one. `OPEN`

Redlining, gentrification, affordability

Three questions arrive before any other. Each is a test the index has to pass, and one of them is where a channel either earns its place or collapses.

Redlining — the ancestor, and the reason channel 3 exists

The Forced Urgency Gap is not a new mechanism. Its clearest historical instance is redlining: from 1935 the Home Owners' Loan Corporation graded neighbourhoods in some 239 cities, and the grade — not the borrower — set the terms of credit.[33] Causal work on the HOLC boundaries finds effects on segregation, homeownership, house values and credit access persisting for decades on the wrong side of a line drawn once.[34][35] DATA Newark was among the graded cities, and the map is legible in its housing stock today.

Read in this paper's terms, redlining *manufactured* the compulsion term. It did not change what households preferred; it changed what contracts were available to them, and therefore what they were forced to accept. The Fair Housing Act (1968), HMDA (1975) and the CRA (1977) outlawed the explicit map. They did not outlaw the mechanism.

THE CLAIM CHANNEL 3 MUST SURVIVE

Channel 3 — insurance non-renewal, premium growth outrunning income, lending-denial spreads by tract — is *redlining's actuarial descendant*: the same spatial sorting, re-derived from risk models rather than declared by race, and lawful precisely because the criterion changed. MODEL Evidence that algorithmic underwriting reproduces disparate pricing without any explicit protected characteristic supports the reading;[37] climate-driven non-renewal is now redrawing the same kind of map on a different peril.[25] DATA **But this must be tested, not assumed.** If channel 3's tract-level pattern turns out to be fully explained by measured hazard exposure with no residual sorting, the redlining-descendant framing is wrong and should be withdrawn from the index — the same standard WP-30 applied to the autophagy anchor. OPEN

Gentrification — a different thing, and Newark proves it

The obvious objection is that this is a gentrification index with new vocabulary. It is not, and the distinction is load-bearing.

Gentrification research studies neighbourhood change driven by in-movers with higher incomes, and its displacement estimates are genuinely contested — Freeman and Braconi found lower mobility rates in gentrifying New York neighbourhoods,[38] later work using credit-panel data finds more nuanced and sometimes opposite results,[39][40] and the field has been criticised for losing sight of displacement altogether.[41] DATA

The Forced Urgency Gap is orthogonal to that debate, because **extraction does not require gentrification.** Newark's ~47% institutional share arose in a market with low prices and disinvestment, not in-migrating affluence.[2] Value moved without the neighbourhood being "discovered." MODEL Desmond and Wilmers make the general version of this point directly: landlords' profit margins are *higher* in poor neighbourhoods than in rich ones — exploitation is not a by-product of desirability, it is a function of tenants' lack of alternatives.[36] DATA

Operationally this becomes a discriminant test. The index must be able to separate:

PATTERN	PRICES	IN-MOVERS	FUG CHANNELS ACTIVE
Classic gentrification	rising	higher-income	2, 4
Extraction without gentrification (Newark type)	flat / low	none — ownership changes, occupancy doesn't	1, 2, 3
Tourist conversion	rising	transient, not resident	4, 1

If the index cannot tell these apart on Newark and NYC data, it is a gentrification proxy and adds nothing. That is failure mode (1) in §7, stated concretely. OPEN

Affordability — level versus asymmetry

The standard instrument is cost burden: housing above 30% of income, a threshold whose lineage runs through the 1969 Brooke Amendment's 25% and its 1981 revision to 30%, and which has been criticised for decades — residual-income approaches show the same ratio implies very different hardship at different income levels.[42][43] DATA

Cost burden measures the *level* of housing cost. The Forced Urgency Gap measures the *asymmetry* that determines who pays what for the same unit. Two households in identical apartments, at identical rents, face different effective prices once one of them cannot survive a two-week income gap: that one pays late fees, accepts a filing on their record, renews on worse terms, or sells at the bottom. Cost burden records none of it. MODEL

> METHODOLOGICAL CONSEQUENCE
>
> Cost burden (ACS) enters the pilot as a **control, not a component**. If the FUG composite is merely a rescaling of tract-level cost burden or poverty rate, it is redundant and should be abandoned. The index earns its existence only in the residual — the part of extraction that burden and poverty measures do not already explain. OPEN

§ 5 · DEPLOYMENT

One city at a time

Newark first. VALUE PREMISE Home jurisdiction; a Mayors for a Guaranteed Income member; the national extreme case per CLiME. Fix the root at home, publish the scorecard with a DOI, let the case study travel.

NYC second. The data-rich contrast case: ACRIS, HPD, eviction filings, and Local Law 18's short-term-rental removal (2023) as a natural experiment already archived by Inside Airbnb. DATA

Then the network, not the RFP. Distribution through coalitions that already convene the buyers: GARE (450+ member jurisdictions), MGI (50+ cities), What Works Cities. DATA The procurement channel opens once two published scorecards constitute past performance. International expansion to *n* economies where financialized housing is a recognized problem, municipal diagnostics are procured, and language access is real — U.S., Brazil (EN/PT bilingual operation), U.K., Canada. ASSUMPTION

A NOTE ON WHAT THE MARKET SIZE MEANS

That 450 U.S. jurisdictions can be enumerated as targets in minutes is not a commercial triumph; it is the diagnosis. A gap this easy to map is a gap that has generalized to the whole map. We therefore refuse the pitch-deck reading of the TAM: the correct reading is an indictment, and the correct success metric is not cities acquired but cities in which the index reads *lower* on re-audit. A consultancy wants its problem to persist; this company states in advance that its terminal state is its own irrelevance — the same standard applied to the advisors it retires. VALUE PREMISE

§ 6 · BASE CASE

Scenarios, not forecasts

Every figure below is a planning assumption. ASSUMPTION

	YEAR 1	YEAR 2	YEAR 3
Cities under audit	2 (Newark, NYC)	8–12	25–40 (+2 intl.)
Price per audit	$0–25k (pilot)	$25k	$25–50k
Revenue	$0–50k	$200–300k	$0.8–1.6M
Headcount	1 + AI tooling	2–3	4–6

The cost structure is the argument: the pipeline is open data plus reproducible code, so the marginal cost of city k+1 falls toward data cleaning. The firm stays small by design — the product replaces advisory headcount rather than accumulating it. WP-32's AI-transition claim applies reflexively: this firm is itself an instance of advisory labour displaced by measurement tooling, and says so. VALUE PREMISE

§ 7 · FALSIFICATION

What would sink the base case

(1) Channels fail to separate. If city scores are dominated by a single channel everywhere, the diagnostic collapses into existing single-issue tools (STR compliance vendors, disparity studies) and has no reason to exist. OPEN

(2) ρ estimated near zero. If absorption of forced supply is diffuse rather than concentrated, the ratchet weakens and the mechanism claim loses its edge. OPEN

(3) No willingness to pay. If the networks circulate the free method and no procurement follows, the company becomes a standard rather than a business. OPEN We regard (3) as an acceptable failure mode: the standard still closes the gap. VALUE PREMISE

§ 8 · POSITION

Where this sits in the literature

Fire sales and forced selling. Liquidation below fundamental value when natural buyers are themselves constrained is Shleifer–Vishny;[3][4] amplification through collateral constraints is Kiyotaki–Moore;[5] the liquidity spiral is Brunnermeier–Pedersen.[6] The household analogue is measured directly: Campbell, Giglio and Pathak find forced sales transact at substantial discounts, foreclosure on the order of a quarter of value.[7] DATA WP-32's ρ is the buyer-side complement of those seller-side discounts.

Behavioural attribution and its limits. Prospect theory[8] and the disposition effect[9] made loss aversion the default explanation of selling; DellaVigna documents how far the coefficient travels.[10] WP-32 does not claim the literature is wrong — it claims the estimator is contaminated in crisis states. MODEL

Household liquidity. Kaplan–Violante–Weidner's wealthy hand-to-mouth shows large populations are liquidity-constrained despite positive net worth — exactly the population for whom compulsion masquerades as preference.[11] Mian–Sufi document the household-leverage channel of 2007–09;[12] Mullainathan–Shafir supply the mechanism by which urgency itself degrades decisions, independent of information.[16] DATA

The extraction channels. Institutional acquisition: Fields on the construction of single-family rentals as an asset class,[17] Aalbers on financialization,[18] Raymond et al. on corporate landlords' elevated eviction-filing rates,[19] CLiME on Newark.[2] Evictions as tempo: Desmond[20] and the Collinson et al. quasi-experimental estimates of eviction's causal harms.[21] Platforms: Barron–Kung–Proserpio identify causal effects of short-term-rental supply on rents and prices,[22] with Barcelona confirmation;[23] Hati et al. map a decade of the stakeholder literature;[29] Gold assesses community costs and statutory responses;[30] two-sided-market theory explains why the fees persist.[24] Insurance: Keys–Mulder on climate-driven premium escalation and non-renewal.[25] AI displacement: Acemoglu–Restrepo[26] and Autor.[27] DATA

The synthesis claim — that these are one mechanism, urgency asymmetry converted to price, observable through one index — is the contribution, and it stays OPEN until the Newark and NYC scorecards exist.

§ 9 · CORPUS

Relation to the series

Parent: WP-32 · The Forced Urgency Gap (doi:10.5281/zenodo.21561819; concept DOI 21561818), including `ForcedUrgency.lean` (MIT). Method discipline: WP-31 · The Calibration Pipeline governs any move from a dimensionless fixed point to a fitted function of measured data — the index construction is bound by it. Audit standard: WP-29, WP-30. Ethical frame: WP-27 · The Ethics of Algebra — correctly done mathematics has no ethics of its own, only who decides how it is applied and to whom. This paper contains no new formal results; its role is to state the commercial consequence of WP-32 precisely enough to be falsified.

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